

Chapter 1

Introduction: What This Book is About

Learning Objectives

- 1.1 Identify the steps in problem solving.
- 1.2 Explain the rational-actor paradigm.
- 1.3 Identify the components of an incentive.
- 1.4 Define a well-designed organization.
- 1.5 Analyze and solve problems by asking and answering questions.

Main Points

- Problem solving requires two steps: First, figure out why mistakes are being made; and then figure out how to make them stop.
- The **rational-actor paradigm** assumes that people act rationally, optimally, and self-interestedly. To change behavior, you have to change incentives.
- Good incentives are created by rewarding good performance.
- A well-designed organization is one in which employee incentives are aligned with organizational goals. By this we mean that employees have enough information to make good decisions, and the incentive to do so.
- It follows that you can analyze problems by asking three questions: (1) Who is making the bad decision?; (2) Does the decision maker have enough information to make a good decision?; and (3) the incentive to do so?
- Answers to these questions will suggest solutions centered on (1) letting someone else make the decision, someone with better information or incentives; (2) giving the decision maker more information; or (3) changing the decision maker's incentives.

Warm-Up

- Think of a time when you (or someone you know) made a decision that seemed logical at the time but turned out badly. What went wrong?

Using Economics to Solve Problems

- Compare the benefits and costs of a decision
 - How much can be gained versus how much can be lost
- Marginal analysis
 - Examine the incremental/additional decision/benefits/costs
- **Rational-actor paradigm**
 - Assumes that people act rationally, optimally, self-interestedly
 - To change behavior, you must change incentives
 - **Incentive** – something that induces a person to act

Types of Incentives

Incentive Type	Description	Example
Monetary	Financial rewards	Bonuses, salary increases
Non-monetary	Recognition, prestige	Awards, public praise
Explicit	Clearly defined and measurable	Sales targets, performance metrics
Implicit	Informal or assumed	Social pressure, cultural norms
Short-term	Immediate outcomes	Weekly bonus
Long-term	Future-focused	Promotions, stock options

Using Economics to Solve Problems

Should we keep a store open one extra hour?

- Extra hour = \$200 labor cost
- Sales = \$300 – Keep it open
- Sales = \$150 – Close early
- How do managers use these tools?
 - Managers apply marginal and cost-benefit analysis to:
 - Pricing decisions
 - Hiring/firing
 - Marketing spend

Rational-Actor Paradigm

- Economists view individuals as acting with purposeful behavior
- Each individual is self-interested and wants to maximize their own level of **utility** (satisfaction derived from consumption)
- To maximize our level of utility we account for the choices we make, the reward from each choice, and the cost of obtaining that reward
- Economic models are built around this type of behavior
- We apply the same logic towards the firm
- Caveat: a field in economics, behavioral economics, looks at when people don't behave rationally and seeks to understand these actions.
 - Example: Why do people keep gym memberships they don't use?
 - They overestimate future motivation
 - They fear sunk costs (already paid and don't want to waste it)
 - They use the membership as a signal of identity

Discussion Activity 1

- Think of a time when you or someone you know made a decision that, in hindsight, wasn't rational. What incentives might have influenced that decision?
- Consider both explicit incentives (money, rewards, recognition) and implicit ones (identity, social pressure, habits). Was there enough information available?

What is a Well-Designed Organization?

- A well-designed organization:
 - Aligns employee incentives with company goals
 - Provides employees with enough information to make good decisions
 - Ensures decision rights match expertise and incentive

Problem Solving Principles

Three simple questions for most problems:

1. Who is making the bad decision?
2. Does the decision maker have enough information to make a good decision?
3. Does the decision maker have the proper incentive to make a good decision?

Answering these questions:

4. letting someone else—someone with better information or better incentives—make the decision
5. giving more information to the current decision maker
6. changing the current decision makers' incentives



Consider a plant manager operating under a bonus incentive plan.
Are they more likely to increase production just to get a bonus even

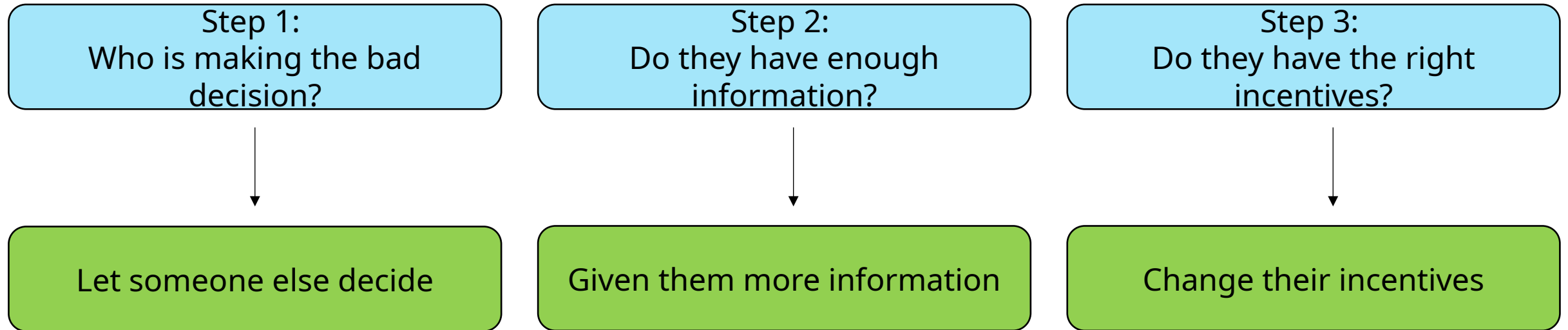
Addressing the Answers

- Think about the problem from the organization's point of view:
 - As an organization are we providing our employees with enough information to make the best decision? If not, do so.
 - Is the organization aligning goals and incentives to employee decisions? If not, do so, *i.e.*, put your employees in the position to make the correct goal alignment decisions.
- Think about the organizational design:
 - Why was the decision made? Don't reverse the decision, instead find a solution to avoid the bad decision in the future.
- What is the trade-off?:
 - Look at the costs and benefits of the decision being made.

Addressing the Answers

- Don't define the problem as the lack of your solution:
 - Avoid making gut reaction decisions based on a lack of information.
 - If a product is priced high and not enough sales are being generated, don't just lower the price to increase sales. Think of alternatives. Perhaps the product needs more advertising.
 - Doing the former may be ill-advised (we'll touch on this more in chapter 6)
- Avoid jargon:
 - Be an effective communicator. If the public and investors don't understand what you mean because of excessive use of technical language you may dissuade some people, who favor your product, to purchase/invest in other products

The 3-Question Problem Solving Framework



Activity – The Underperforming Store

Scenario:

- Sales volume is strong, but profits are consistently low. The regional manager reviews reports and notices that employees often offer steep in-store discounts to close sales, even when customers don't ask. Additionally, many of the promoted products have slim profit margins, and staff are not trained on which items are most profitable. The store manager receives bonuses based on sales volume, not profit

Your Task:

1. Who might be making a bad decision?
2. Do they have enough information?
3. Do they have the right incentive?

Activity – The Underperforming Store

1. The store manager. They are likely encouraging sales associates to close deals because the manager's bonus is tied to volume.
 2. No. Sales staff lack training or tools to know which products may be high-margin. There's no system to tell them when discounting helps or hurts the bottom line.
 3. No. Bonuses are tied to volume and not profit.
- The current incentive structure pushes employees to chase revenue at any cost — literally. Combined with poor visibility into margin data, this creates a system where everyone thinks they're winning, even as profit suffers.

Discussion Activity 2

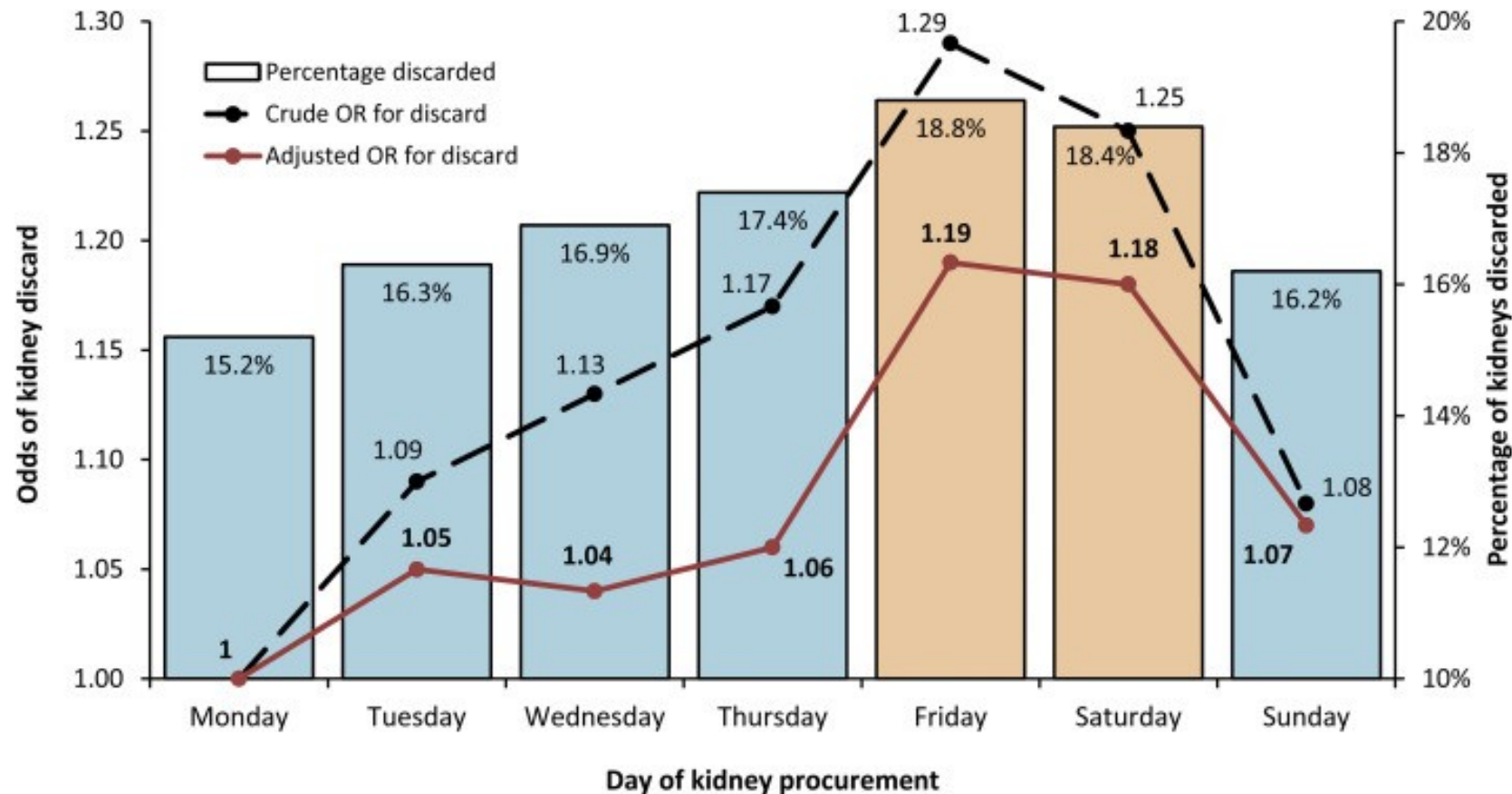
- Your team is losing money despite strong sales. Using the three problem-solving questions, where would you start looking for answers?
- Ask: Who is making key decisions? Do they have enough information or proper incentives? Would a better-informed person or new incentive help?

Ethics (Morality) and Incentives

- Where do we draw the line between self-interest and morality?
- Incentives are invaluable as they help determine our actions.
- Are some things too taboo to really use incentives and the market?
 - Organ transplants, legalizing prostitution, same sex marriages, carbon taxes, etc.
- Let's consider organ transplants.
- Most economists agree that paying people for kidneys would increase the supply of kidneys available and limit the number of deaths that occur among those waiting.
- The issue is that some may find this morally reprehensible, as they argue poorer people respond to the monetary incentive because they are the most in need but may regret the decision later in life.
- Alvin Roth, the 2012 Nobel Laureate in Economics, who's idea has been put into practice, finds a way around this moral dilemma. In essence, the idea creates an exchange market between two pairs of people who are willing to donate a kidney but are incompatible with the other member in their respective pairing.
- In essence, people are still responding to incentives.

Kidney Disposal on the Weekend

- Why are [kidney disposal rate higher](#) on the weekend?



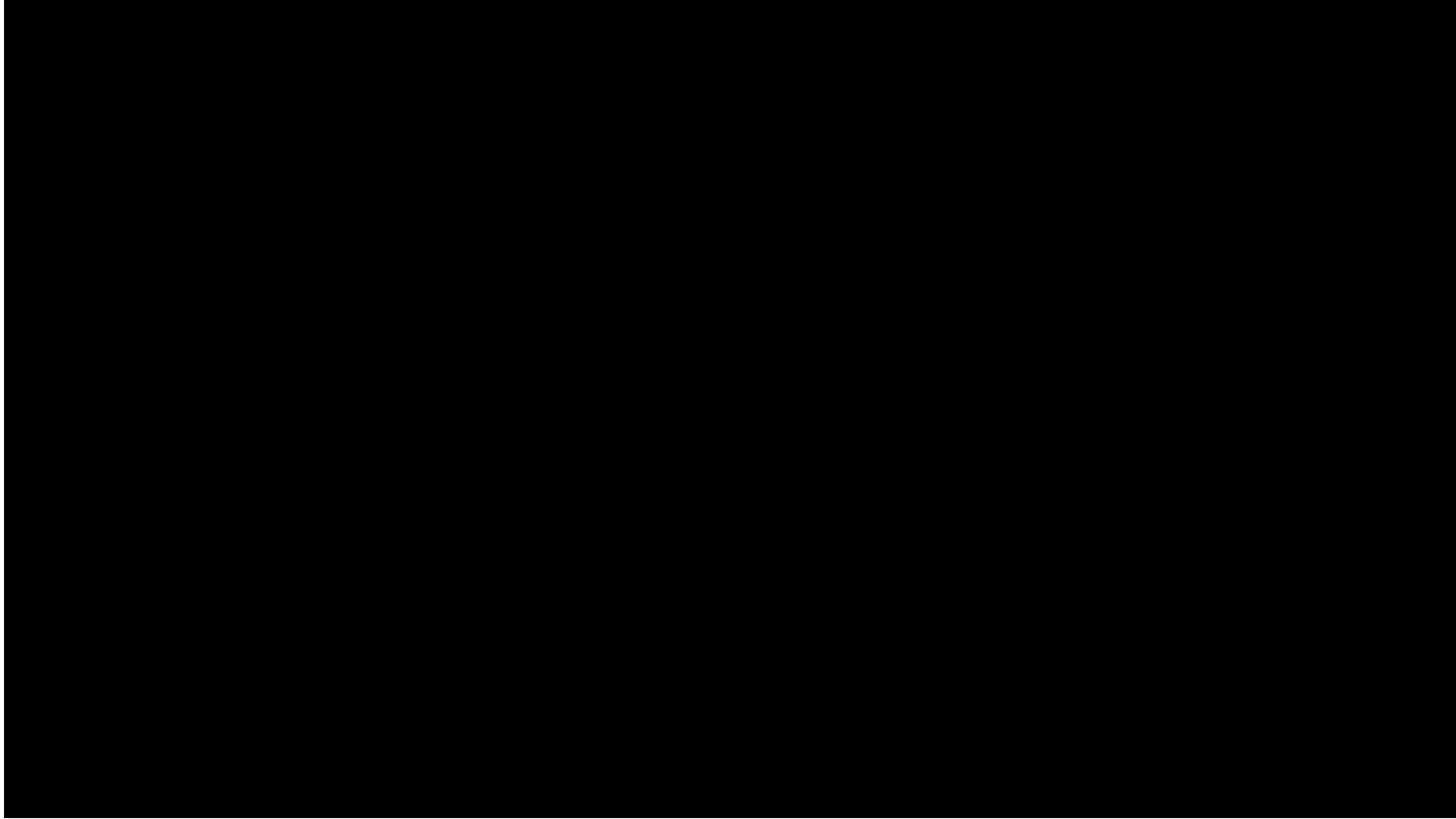
Why Work?

- [Laid-off Teachers Show Lack of Initiative When It Comes to Finding Jobs](#)
- Believe it or not, some people prefer to take home a nice paycheck without working.
- “According to the Department of Education, 1,800 New York City teachers who lost their jobs earlier this year have yet to apply for another job in the system or attend fairs for recruitment, despite the fact that there are 1,200 openings.”
- “New York is the only city in the U.S. where teachers are guaranteed pay for life even if their school closes and they no longer have a permanent job.”
- “The average salary for an ATR pool teacher? \$82,000, with some making \$100,000. Some teachers have been in the pool since 2006.”

Discussion Activity 3

- Should there be limits to using incentives in policy decisions? Pick one example from the slide (e.g., organ transplants, carbon tax) and debate with a partner.
- Consider both sides: What's gained by using incentives? What might be lost in terms of ethics, equality, or public trust?

Ethics and Economics



Case Study: Wells Fargo Incentive Scandal

- In 2016, Wells Fargo admitted that employees created over 3.5 million fake accounts.
 - The pressure to meet daily sales goals was intense.
 - Employees faced disciplinary action or firing for missing targets.
 - Many customers were unaware of the accounts being opened in their name.
 - What went wrong? Let's apply the 3-question framework.
1. Who was making the bad decision?
→ Frontline employees, under pressure from managers.
 2. Did they have enough information to make a good decision?
→ Arguably yes—but the consequences of *not* hitting targets were severe.
 3. Did they have the right incentives?
→ No. The incentives encouraged unethical behavior to meet unrealistic goals.

What could the organization have done differently?

Use the framework to suggest a redesign:

Reassign decision rights? Change incentives? Improve communication?

Case Study: When Incentives Work – Zappos and Customer Loyalty

The Incentive Structure:

- Call center employees are NOT measured by call time.
- Instead, they're incentivized to:
 - Provide excellent service
 - Build long-term customer loyalty
 - Go "above and beyond" to solve problems creatively
- They're even encouraged to spend extra time on calls if it means making a customer feel understood and cared for.

What's different here?

- Zappos designed incentives to match their strategic goal: customer loyalty over efficiency.
- Rather than pushing reps to rush or upsell, they empower them to build trust and create memorable experiences.

Case Study: When Incentives Work – Zappos and Customer Loyalty

Results:

- Zappos gained a cult-like customer following.
- They enjoy strong word-of-mouth marketing and high repeat purchase rates.
- Employee satisfaction is also high. They feel trusted and not micromanaged.

Takeaway:

- When incentives are aligned with long-term goals, you don't just get compliance, you get commitment.

References:

- [Four Lessons on Culture and Customer Service from Zappos CEO, Tony Hsieh](#)
- [Zappos: A Workplace Where No One and Everyone is the Boss](#)

Key Takeaways

- Effective problem solving begins with identifying *why* mistakes happen—and how to stop them.
- Use the Three Questions Framework:
 - Who is making the bad decision?
 - Do they have enough information?
 - Do they have the right incentive?
- Rational-Actor Paradigm: People act in their self-interest with available information and incentives.
- Incentives matter, changing behavior means changing what people are rewarded (or punished) for.
- A well-designed organization aligns employee incentives with company goals.
- Avoid two key traps in decision making:
 - Making assumptions without data or diagnosis
 - Solving problems by pushing a personal solution, not defining the true issue
- Communication counts — avoid jargon and ensure stakeholders understand your reasoning.
- Ethics and economics intersect in tough cases (e.g., organ markets, carbon taxes). Incentives must be weighed against values.

Knowledge Check

1. The rational-actor paradigm assumes people act _____, _____, and _____.
2. Incentives work by changing people's _____.
3. A well-designed organization aligns _____ with _____.
4. You solve problems by asking who is making the bad decision, if they have enough _____, and the right _____.

Knowledge Check Answers

1. Rationally, optimally, self-interestedly
2. Behavior
3. Incentives; organizational goals
4. Information; incentives

Consultant's Challenge

- You're not just a student. You're a junior strategy consultant embedded inside a portfolio of companies facing economic dilemmas. Each chapter's challenge is your case assignment. Complete all cases, and you earn the title of Consultant.
- At the end of each chapter, you'll face a real-world scenario. Your task?
 - Diagnose the problem
 - Apply the chapter's tools
 - Make recommendations
- This is your private portfolio. It's not for a grade, but for your growth.
- Complete all 20 and unlock the "Consultant" badge.
- Build your portfolio in any format you wish: memo, podcast, slide deck, etc.
- Regardless of format, your submission should clearly address the economic decision problem, your reasoning, and your proposed solution or insight.
- Good luck Consultant!

Consultant's Challenge: Defining the Problem

Scenario:

- You're a consultant brought in by a small logistics company. They've been making decisions that feel reactive by solving the wrong problems, applying pressure in the wrong places.

Your Task:

1. What questions would you ask to help them clearly define the core problem?
2. How would you guide them to break down the issue using rational decision-making and incentives?